

## **BUSINESS PLAN/PROGRAM**

### **PROSPERIDAD LUMBER DEALERS AND FURNITURE ASSOCIATION, INC. (PLDFAI)**

**Barangay Poblacion, Prosperidad, Agusan del Sur**

**For Calendar Year 2025-2026**

#### **I. INTRODUCTION**

The Prosperidad Lumber Dealers and Furniture Association, Inc. (PLDFAI) is a newly established business entity located at Barangay Poblacion, Prosperidad, Agusan del Sur, engaged in lumber trading and furniture production. The company aims to meet the growing demand for quality lumber and finished wood products in Prosperidad and nearby municipalities.

PLDFAI is duly registered with the Department of Trade and Industry (DTI) and will operate under the permit and regulation of the Department of Environment and Natural Resources (DENR) as a licensed lumber dealer and furniture manufacturer.

PLDFAI envisions becoming a trusted supplier of sustainably sourced lumber and high-quality furniture products. It will procure lumber from legitimate tree plantations, Community-Based Forest Management (CBFM) areas, and Private Land Timber Permit (PLTP) holders, in full compliance with existing forestry regulations.

In support of environmental and socio-economic goals, PLDFAI will participate in tree planting and reforestation activities under the National Greening Program (NGP), while promoting employment and livelihood for local residents through the lumber and furniture trade.

#### **II. OBJECTIVES**

##### **Main Objective**

- To establish and operate a functional lumber and furniture enterprise in Prosperidad that provides legal, quality, and affordable wood products;
- To support local economic development by creating employment opportunities and contributing to local revenue generation;
- To promote sustainable forestry practices by sourcing materials only from legal and environmentally compliant suppliers;
- To serve as a reliable partner of DENR and the local government in promoting responsible forest utilization and value-adding industries;
- To diversify operations into furniture manufacturing and semi-finished wood products for domestic and potential export markets.

##### **Secondary Objective**

- To dispose of approximately 20,000–25,000 board feet of lumber and finished furniture products per quarter;
- To manufacture and sell semi-finished and finished wood products such as tables, cabinets, doors, crates, and custom furniture;
- To continuously improve production and marketing efficiency for higher profit margins and market competitiveness.

### **III. MARKETING PROGRAM**

#### **A. Products**

PLDFAI will primarily trade and manufacture lumber, sticks, crates, boxes, and furniture products such as tables, chairs, cabinets, and doors.

#### **B. Pricing Structure/Strategy**

The company will engage in both wholesale and retail transactions. Prices will be determined based on species and quality, production cost, and prevailing market prices. A profit margin of approximately 25–30% will be applied.

#### **C. Distribution Channels and Outlets**

Products will be distributed locally within Prosperidad, Bayugan City, and nearby municipalities, with possible expansion throughout the Caraga Region.

#### **D. Promotion and Advertising**

PLDFAI will utilize signage, social media, and local trade fairs for marketing purposes and may sponsor local activities as part of its community engagement efforts.

### **IV. PRODUCTION PROGRAM**

#### **A. Development Plan**

PLDFAI will establish efficient lumber and furniture production systems to ensure continuous operation and profitability. Equipment includes table saw, rip saw, trimmer, and chainsaw.

#### **B. Source of Raw Materials**

Lumber will be sourced from CBFM groups, PLTP holders, and legally registered suppliers.

#### **C. Operation Schedule**

The business will operate year-round, Monday to Saturday, 8:00 AM to 5:00 PM.

#### **D. Processing and Production Schedule**

Only resizing and finishing of legally sourced lumber will be done. Waste materials will be reused.

#### **E. Pollution Control and Waste Management**

The company will implement a zero-waste policy and the 5Rs (Reduce, Reuse, Recycle, Refuse, Repurpose).

#### **F. Employment Generation**

At least 4–6 workers will be employed in the initial phase, with possible expansion depending on demand.



## V. FINANCIAL PROGRAM

As lumber dealer permittee, applicant's income depends on the demand of lumber materials in the local market. Below is the Return on Investment (ROI) Statement for CY 2024.

### • Revenue Estimates

- Annual disposed lumber : 72,931.00 bd.ft.
- Cost per board feet : Php 35.00
- Annual Income : Php 2,552,585.0

### • Annual Production Projection Cost

| Materials/Equipment/Operating Expenses                                 | Annual Cost          |
|------------------------------------------------------------------------|----------------------|
| Raw Materials (72,931.0 bd.ft. with price of Php. 9.00 per bd.ft.)     | Php 656,379.0        |
| Labor for milling (72,931.0 bd.ft with price of Php. 1.00 per bd.ft.)  | Php 72,931.0         |
| Annual power consumption/electricity                                   | Php 150,000.00       |
| Annual Rent                                                            | Php 420,000.00       |
| Salary (on call laborer)                                               | Php 240,000.00       |
| Transportation of raw materials including labor                        | Php 72,931.0         |
| Annual utilities/water                                                 | Php 36,000.00        |
| Equipment/tools maintenance and repair cost (circular saw and trimmer) | Php 51,000.00        |
| <b>Total Cost</b>                                                      | <b>Php 1,699,241</b> |

### • Net Income Calculation

The **net income** for lumber retailing is estimated at **Php. 853,344.00** for CY 2024, net income is projected to increase as the business grows and the supply and demand network expands.

The lumber dealer business has an **initial investment of Php. 200,000** to finance its operations. As a result, it does not require financial assistance from any lending institution for the current year.

Respectfully Submitted,

PROSPERIDAD LUMBER DEALERS  
AND FURNITURE ASSOCIATION,  
INC. (PLDFAI)

By:

  
**ARNEL ALUTE**  
Proprietor/President